

Channel Partner Agreement

Effective **May 14, 2026** · Template Version 2.1

This is PACE Technologies' template Channel Partner Agreement, the basis on which we appoint authorized channel partners who sell PACE equipment bundled with their complementary primary product (microscopes, hardness testers, lab automation, etc.) to End Customers PACE does not reach directly. Channel Partners are appointed by invitation only. Final terms are negotiated and executed in writing to fit each partner's circumstances.

01 Definitions

SUMMARY

Key terms. The main ones: 'Products' (PACE equipment and consumables) and 'Territory' (the area named on the cover page).

Capitalized terms not defined here have the meanings given on the cover page or in PACE's [Standard Terms and Conditions of Sale](#) ("PACE Standard Terms").

- **"Agreement"** means this Channel Partner Agreement, including any Exhibits and executed amendments.
 - **"Effective Date"** means the date stated on the cover page.
 - **"End Customer"** means the ultimate purchaser of a Product, other than Channel Partner.
 - **"List Price"** means PACE's then-current published list price in U.S. dollars.
 - **"Marks"** means the PACE trademarks, service marks, logos, and trade names made available to Channel Partner.
 - **"PACE"** means PACE Technologies Corporation, headquartered at 3601 E. 34th Street, Tucson, Arizona 85713, USA.
 - **"Products"** means the metallographic equipment, consumables, and related items offered by PACE for resale.
 - **"Channel Partner"** means the entity named on the cover page as the appointed channel partner.
 - **"Path A"** and **"Path B"** have the meanings given in Section 3.
 - **"Deal Registration Policy"** means PACE's then-current Deal Registration Policy, available at metallographic.com/deal-registration-policy.html.
 - **"MAP Policy"** means PACE's then-current Channel Minimum Advertised Price Policy, available at metallographic.com/channel-map-policy.html.
 - **"Territory"** means the geographic area identified on the cover page (which may be worldwide, regional, or country-specific).
 - **"Trade Laws"** has the meaning given in Section 12.
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02 Appointment as Channel Partner

SUMMARY

Channel Partner is a non-exclusive authorized channel partner within the United States, appointed by invitation only. The role is to bring PACE access to End Customers PACE does not reach directly, typically by bundling PACE products with the partner's complementary primary offering.

PACE appoints Channel Partner, and Channel Partner accepts appointment, as a **non-exclusive** authorized channel partner of the Products in the Territory during the Term. Channel Partner may market, refer, and (subject to Path B election under Section 3) resell Products to End Customers and may use the Marks subject to Section 7.

By Invitation Only. Channel Partner appointments are made by invitation. PACE selects Channel Partners based on the partner's complementary primary product offering, demonstrated access to End Customers PACE does not reach directly, and the absence of conflict with PACE's existing direct sales pipeline. This Agreement is offered to invited prospective partners only and is not a general or open program.

Territory Restriction. Territory must be within the United States. This Agreement does not extend to any territory outside the United States. Channel Partner shall not solicit orders, open offices, market, or fulfill Products into any territory outside the United States. For distribution in international markets, PACE uses a separate Distributor Agreement; for the United States or Canada under a transactional reseller relationship, PACE uses a separate Reseller Agreement.

The appointment is **non-exclusive**. PACE retains the right to: (i) appoint additional resellers, distributors, channel partners, referral partners, or other channel relationships in or outside the Territory; (ii) sell Products directly to End Customers anywhere, including through PACE's website or sales personnel; (iii) modify, add to, or discontinue any Product; and (iv) accept or reject any order in its sole discretion.

Mutual Exclusivity with Reseller Agreement. An entity may not concurrently hold a Channel Partner Agreement and a Reseller Agreement with PACE. If Channel Partner currently holds a Reseller Agreement, that Reseller Agreement is superseded and terminated on the Effective Date of this Agreement.

03 Products and Pricing

SUMMARY

Two operating paths: Path A is a 5% referral fee where PACE invoices the End Customer directly. Path B is resale at 15% off equipment / 10% off same-PO consumables on registered deals. Pick the path per opportunity.

Two Operating Paths. This Agreement supports two operating paths for any opportunity. Channel Partner may elect either path on a per-opportunity basis at the time the opportunity is registered with PACE under the Deal Registration Policy. Both paths require a registered, approved opportunity for the discount or referral fee to apply at the rates stated below.

Path A — Referral. Channel Partner refers the opportunity to PACE. PACE quotes the End Customer directly, issues the invoice, and serves as the seller of record. PACE pays Channel Partner a referral fee of **five percent (5%) of the net invoiced equipment value** of Products sold to the referred End Customer on the registered opportunity, within thirty (30) days after PACE collects payment in full from the End Customer. No referral fee is paid on consumables, on services, or on opportunities not approved through Deal Registration.

Path B — Resale. Channel Partner purchases Products from PACE at the discounts set forth in [Exhibit B](#) and resells them to End Customers in its own name. Channel Partner invoices the End Customer; PACE invoices Channel Partner. PACE drop-ships in Channel Partner's name with PACE-branded inner packaging (see Section 5). See Exhibit B for the full discount schedule.

Updates. PACE may update Exhibit B from time to time on sixty (60) days' written notice; updates are effective for orders accepted after the change. Certain Products may be ineligible for the discount or referral fee, or eligible at a different rate, as indicated by PACE in writing.

Currency. All prices are in **U.S. dollars (USD)**.

Price Changes. PACE may change List Prices on at least **sixty (60) days' written notice**. Orders accepted by PACE before the effective date of an increase will be honored at the prior price.

Resale Pricing (Path B). Channel Partner is free to set its own resale prices to End Customers, subject to the MAP Policy and to Section 8 (Channel Conduct). Channel Partner shall not represent any resale price as having been set or required by PACE.

Taxes. All prices exclude sales, use, value-added, excise, customs, withholding, and similar taxes, which are Channel Partner's responsibility unless Channel Partner furnishes a valid exemption certificate.

04 **Annual Purchase Commitment**

SUMMARY

Channel Partner targets at least \$5,000 USD per year in Path B purchases. Path A referral fees do not count toward the Annual Minimum. Falling short gives PACE the option to terminate or convert.

Channel Partner shall purchase from PACE, under Path B, Products with an aggregate net invoiced value of not less than **five thousand U.S. dollars (\$5,000)** in each calendar year of the Term (the "Annual Minimum"). The Annual Minimum is prorated for partial years. Path A referral activity, while expected, does not count toward the Annual Minimum because Path A does not involve Channel Partner purchasing Products from PACE.

If Channel Partner fails to meet the Annual Minimum in any calendar year, PACE may, at its sole option: (i) continue this Agreement on its current terms; (ii) reduce or modify Channel Partner's discount for the following calendar year; (iii) remove specific Products from Channel Partner's eligibility; or (iv) terminate this Agreement on thirty (30) days' written notice.

05 Orders, Payment, and Delivery

SUMMARY

Channel Partner places POs subject to PACE's Standard Terms. Each order must meet a \$500 minimum. PACE drop-ships in Channel Partner's name. PIA for the first 6 months, then Net-30 on credit approval.

Standard Terms Apply. Every order placed by Channel Partner is governed by PACE's then-current [Standard Terms and Conditions of Sale](#), in addition to this Agreement. In the event of a conflict, this Agreement controls as to matters expressly addressed here; the Standard Terms control as to all other matters. PACE rejects any conflicting terms in Channel Partner's purchase orders.

Per-Order Minimum. Each purchase order submitted by Channel Partner under Path B must have a net invoiced value of at least **five hundred U.S. dollars (\$500)**. PACE may reject any order below this threshold, or at its option accept the order with an adjusted handling charge.

Payment. For the first six (6) months of the Term, Channel Partner shall make payment in advance ("PIA") for all orders. Thereafter, subject to PACE's credit approval and maintenance of clean payment history (no late payments, no chargebacks, no disputes for non-trivial amounts), **Net-30 terms** may be extended at PACE's discretion on written request. Late payments accrue interest at the lesser of 1.5% per month or the maximum rate permitted by law.

Drop-Ship Delivery. Under Path B, Products are drop-shipped by PACE directly to the End Customer in Channel Partner's name (using Channel Partner's outer-carton branding where Channel Partner supplies it, or plain outer packaging where it does not) with PACE-branded inner packaging, PACE serial numbers, and PACE documentation. Channel Partner shall provide the End Customer's shipping address and any special handling instructions on each purchase order. Channel Partner may, on case-by-case agreement with PACE, elect direct shipment to Channel Partner's own facility instead of drop-ship.

Delivery Terms. Unless otherwise agreed, delivery is **FCA PACE's facility, Tucson, Arizona** (Incoterms 2020). Title and risk of loss pass to Channel Partner on delivery to the first carrier.

Channel Partner is responsible for freight, insurance, and any applicable import/export charges thereafter.

06 **Marketing**

SUMMARY

Channel Partner markets the Products through commercially reasonable efforts.

Channel Partner shall use commercially reasonable efforts to promote and sell the Products in the Territory, including by maintaining a professional online or physical presence that identifies Channel Partner as an authorized PACE Channel Partner and presents the Products accurately.

Channel Partner may participate in PACE-sponsored marketing programs as they may be offered from time to time. Co-marketing terms, if any, will be set out in a separate writing.

SUMMARY

Channel Partner can use PACE marks to promote PACE Products. The license is non-exclusive and tied to the Agreement.

PACE grants Channel Partner a non-exclusive, non-transferable, non-sublicensable, royalty-free license, during the Term and within the Territory, to use the Marks solely to advertise and resell the Products as an authorized PACE Channel Partner.

Channel Partner shall use the Marks only in accordance with PACE's brand guidelines (provided on request). Channel Partner shall not: (i) modify the Marks; (ii) combine them with other marks in a manner suggesting a co-brand without PACE's prior written consent; (iii) register or attempt to register any of the Marks or confusingly similar marks; or (iv) challenge the validity of any PACE intellectual property.

Domain Names and Paid Search. Channel Partner shall not (i) register, attempt to register, or use any domain name, social-media handle, or app name that incorporates or is confusingly similar to "PACE," "PACE Technologies," "Materials Prep," "metallographic.com," or any of the Marks; or (ii) bid on, purchase, or otherwise use any of the Marks (including "PACE," "PACE Technologies," and "Materials Prep") or PACE's domain names as keywords, ad copy, or display URLs in paid-search or paid-social advertising. Channel Partner may use the Marks descriptively in organic content and in advertising of specific Products to indicate it is an authorized PACE Channel Partner, consistent with this Section 7.

The Marks remain the sole property of PACE. The license terminates automatically on expiration or termination of this Agreement, and Channel Partner shall cease use of the Marks within thirty (30) days.

SUMMARY

Channel Partner may sell via its own branded website. No third-party marketplaces (Amazon, eBay, AliExpress) without written consent. Hazardous chemicals stay in the United States. Quarterly equipment-shipment report goes to PACE.

Channel Partner may sell Products through its own staffed offices and its own e-commerce website that prominently identifies Channel Partner as an authorized PACE Channel Partner.

Online Marketplaces. Channel Partner shall not list or sell Products on any third-party online marketplace (including Amazon, eBay, AliExpress, Alibaba, Mercado Libre, Taobao, or any equivalent) without PACE's prior written consent. PACE may grant or withhold consent in its sole discretion. Breach is grounds for immediate termination under Section 19.

No Diversion. Channel Partner shall not knowingly export, re-export, or transship Products outside the Territory, nor sell to any customer Channel Partner knows or reasonably should know will do so, except as permitted under applicable competition law.

No Modification. Channel Partner shall not repackage, relabel, or modify Products in a manner that obscures PACE's brand or removes hazard or safety information.

Hazardous Products. Certain Products (including etchants and other chemical consumables) are hazardous materials under U.S. federal, state, and local law. With respect to such Products, Channel Partner shall: (i) handle, store, package, and transport them in compliance with all applicable U.S. laws and regulations, including 49 CFR (Hazardous Materials Regulations), OSHA, and EPA rules; (ii) ensure its personnel are trained as required by 49 CFR § 172.700 et seq. before handling or shipping; (iii) obtain and maintain any licenses, permits, or registrations required in the jurisdictions where it operates; (iv) provide PACE's current Safety Data Sheets to each End Customer at or before delivery; and (v) not export, re-export, or transship Hazardous Products outside the United States.

End-Customer Reporting (Equipment). Within thirty (30) days after the end of each calendar quarter, Channel Partner shall provide PACE a report listing, for each unit of Equipment (capital instruments and systems, as distinguished from consumables) shipped to an End Customer during the quarter: (i) End-Customer legal name and country/state; (ii) PACE invoice or order reference; (iii) Equipment model and serial number, if available; and (iv) End-Customer

industry or use category if known. Channel Partner represents that it has obtained any consents required under applicable privacy laws to share this information. No End-Customer report is required for consumables.

09 Warranty and Service Routing

SUMMARY

Channel Partner does not perform warranty service. Channel Partner refers warranty issues to PACE, passes required PACE protective terms through to End Customers, cooperates with recalls, and benefits from PACE's five-year spare-parts commitment.

No Warranty Service Obligation. Unlike a distributor, Channel Partner is not required to perform warranty service. Channel Partner shall refer all warranty claims, service requests, and technical-support inquiries from End Customers to PACE in a timely manner.

Optional Service Authorization. Channel Partner may apply to be authorized to perform fee-based or warranty service for Products, subject to PACE's training and certification requirements. Any such authorization will be set out in a separate writing and may include reimbursement terms.

End-Customer Terms. Channel Partner shall include in every sale of Product to an End Customer the protective terms PACE provides as part of its standard partner package (the "Required End-Customer Terms"), covering at minimum: PACE's standard limited warranty, disclaimer of implied warranties, limitation of liability (including exclusion of consequential damages), no third-party-beneficiary status for End Customers vis-à-vis PACE, and end-user compliance with hazardous-materials and Safety Data Sheet handling. Channel Partner may use its own contracting templates so long as the Required End-Customer Terms are included verbatim or in substantively equivalent language. Channel Partner shall not extend any express warranty broader than PACE's standard limited warranty, nor make any representation about Products beyond PACE's published materials. Channel Partner shall make PACE's Safety Data Sheets and product documentation available to End Customers where applicable.

Spare Parts. PACE shall make commercially reasonable efforts to maintain spare-parts availability for Products sold by Channel Partner for a minimum of **five (5) years** after Product discontinuation. After this period, parts are subject to availability.

Product Recall. PACE has sole authority to determine whether a Product recall, retrofit, or safety bulletin is necessary and to define its scope. If PACE issues a recall affecting Products sold by Channel Partner, Channel Partner shall, within ten (10) business days of PACE's written notice: (i) cooperate with PACE in notifying each affected End Customer using messaging approved by PACE; (ii) coordinate the return, retrofit, or replacement of affected Products with

End Customers in accordance with PACE's instructions; and (iii) maintain records of recall-related communications and dispositions. PACE shall provide replacement Products or credit at no charge to Channel Partner or End Customer and shall reimburse Channel Partner's reasonable, documented out-of-pocket recall costs.

10 Insurance

SUMMARY

Channel Partner maintains commercially reasonable insurance customary for its size, industry, and jurisdiction. PACE may request a Certificate of Insurance.

Channel Partner shall maintain at its own expense throughout the Term commercially reasonable insurance customary for businesses of its size and industry in its jurisdiction, including:

- Commercial General Liability coverage appropriate to Channel Partner's activities under this Agreement;
- Workers' Compensation as required by applicable law; and
- Commercial Automobile Liability covering owned, hired, and non-owned vehicles, if Channel Partner's personnel transport Products or visit End-Customer sites.

Upon PACE's reasonable request, Channel Partner shall provide a Certificate of Insurance.

11 Confidentiality

SUMMARY

Both parties protect each other's non-public information for the Term and 3 years after.

"Confidential Information" means non-public information disclosed by one party to the other in connection with this Agreement that is identified as confidential or that a reasonable person would understand to be confidential, including pricing, customer lists, business plans, technical information, software, and financial information.

The Receiving Party shall: (i) use Confidential Information solely for purposes of this Agreement; (ii) protect it with at least the same care it uses for its own information of similar sensitivity and in no event less than reasonable care; (iii) limit disclosure to its personnel with a need to know who are bound by confidentiality; and (iv) not disclose it to third parties without consent.

Exceptions apply for information that is publicly known, rightfully known prior to receipt, independently developed, or required to be disclosed by law.

The obligations apply during the Term and for **three (3) years** after termination. Trade secrets remain protected as long as they remain trade secrets. On termination, each party shall return or destroy the other's Confidential Information.

12 Export Controls and Trade Compliance

SUMMARY

Channel Partner complies with US export law, sanctions, anti-boycott rules, and end-use restrictions. Restricted-party screening is required.

The Products and related technology may be subject to the U.S. Export Administration Regulations (EAR), the International Traffic in Arms Regulations (ITAR) to the extent applicable, OFAC sanctions, and the import/export laws of other jurisdictions ("Trade Laws"). Channel Partner represents, warrants, and covenants that:

- It is not, and no owner, director, officer, or employee is, a restricted or sanctioned party under any Trade Laws, including the U.S. Specially Designated Nationals List, Denied Persons List, Entity List, or comparable lists of other governments;
- It will not, directly or indirectly, export, re-export, transfer, or divert any Product to any country, region, entity, or individual subject to U.S. embargo or comprehensive sanctions (including, as of the Effective Date, Cuba, Iran, North Korea, Syria, and the Crimea, Donetsk, and Luhansk regions of Ukraine);
- It will conduct restricted-party screening of each prospective End Customer against current government lists prior to delivery and maintain records of such screening for at least five (5) years;
- It will not use, sell, or permit use of the Products for nuclear weapons, chemical or biological weapons, missile, or unauthorized military end uses;
- It will comply with applicable anti-boycott laws, including the U.S. Export Administration Act anti-boycott provisions and Section 999 of the U.S. Internal Revenue Code, and report any boycott request received to PACE within ten (10) business days;
- It will obtain any required export, re-export, or import authorizations at its own cost; and
- It will provide PACE with End-Use and End-User certifications upon request.

Channel Partner shall indemnify, defend, and hold harmless PACE from and against any claims, fines, or losses arising from Channel Partner's breach of Trade Laws. PACE may refuse any order it believes in good faith may violate Trade Laws, without liability.

Annual Compliance Certification. Annual auto-renewal of this Agreement under Section 19 is conditioned on Channel Partner's submission of a signed Compliance Certification on PACE's

standard form. Channel Partner shall submit the Compliance Certification within the ninety (90) days preceding the end of each Term year. The Compliance Certification confirms Channel Partner's continuing compliance with this Section 12 and Section 13 (Anti-Bribery) and discloses any pending or threatened government investigation, charge, or enforcement action against Channel Partner or its principals relating to anti-corruption, trade compliance, or sanctions matters. If Channel Partner fails to submit a current Compliance Certification within the specified window, this Agreement does not auto-renew and lapses at the end of the then-current Term, without further notice required from PACE.

13 **Anti-Bribery and Anti-Corruption**

SUMMARY

Channel Partner complies with the FCPA, UK Bribery Act, and local laws. No improper payments. PACE has audit rights to verify compliance.

Channel Partner shall comply with the U.S. Foreign Corrupt Practices Act, the U.K. Bribery Act 2010, and all other applicable anti-bribery and anti-corruption laws. Channel Partner shall not, directly or indirectly, offer, promise, or give anything of value to any government official or any other person to obtain or retain business or secure an improper advantage.

Channel Partner shall maintain accurate books and records reflecting all transactions involving the Products. Upon reasonable prior notice, PACE may audit Channel Partner's books and records relating to the Products and this Agreement, at PACE's expense, to verify compliance with this Section.

Channel Partner shall promptly notify PACE of any actual or suspected breach. Material breach is grounds for immediate termination under Section 19.

SUMMARY

Each party complies with applicable privacy laws when handling personal data of End Customers and their staff. When Channel Partner handles End-Customer personal data on PACE's behalf (including under the quarterly equipment-reporting clause), Channel Partner acts as a processor.

Each party shall comply with applicable data-protection laws when handling personal data of End Customers and their personnel, including the EU GDPR, the UK GDPR, the California Consumer Privacy Act (as amended), and other U.S. state and foreign privacy laws. PACE's [Privacy Policy](#) governs PACE's data practices. The parties shall execute a data-processing addendum upon either party's request where required by applicable law.

To the extent Channel Partner processes personal data of End Customers or their personnel on behalf of PACE (for example, in connection with quotes, orders, warranty registration, or quarterly End-Customer reports under Section 8), Channel Partner acts as a processor (under GDPR) or service provider (under CCPA) and shall: (i) process such personal data only on PACE's documented instructions; (ii) implement appropriate technical and organizational security measures; (iii) ensure persons authorized to process personal data are subject to confidentiality; (iv) assist PACE in responding to data-subject requests; and (v) delete or return such personal data on termination.

SUMMARY

PACE owns all IP in the Products and Marks. Channel Partner gets no rights other than what's expressly licensed.

All intellectual property rights in the Products, Marks, and PACE's technical documentation remain PACE's sole and exclusive property. Channel Partner acquires no rights except those expressly granted in this Agreement.

Channel Partner shall not: (i) reverse engineer, decompile, or disassemble Products or any embedded software, except to the extent expressly permitted by applicable law notwithstanding this restriction; (ii) copy or create derivative works; (iii) remove proprietary notices; (iv) register or attempt to register any of the Marks or confusingly similar marks; or (v) challenge the validity of any PACE intellectual property. Any feedback Channel Partner provides to PACE is non-confidential and PACE may freely use it.

16 Representations and Warranties

SUMMARY

Standard reps from each party: authority, organization, no sanctioned-party status. All implied warranties from PACE are disclaimed except as expressly stated.

Each party represents and warrants that (i) it is duly organized and in good standing; (ii) it has authority to enter and perform this Agreement; (iii) performance does not breach any other agreement or law; (iv) it is not a restricted or sanctioned party; and (v) it will perform in compliance with applicable laws. Channel Partner additionally represents that it will not make any representation or warranty about the Products beyond what PACE has authorized in writing.

EXCEPT AS EXPRESSLY STATED HERE OR IN PACE'S STANDARD TERMS, PACE MAKES NO REPRESENTATIONS OR WARRANTIES, EXPRESS OR IMPLIED, INCLUDING IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, AND NON-INFRINGEMENT.

SUMMARY

PACE defends Channel Partner against IP infringement and product-defect claims relating to the Products. Channel Partner defends PACE against claims arising from Channel Partner's own conduct.

By PACE. Subject to the limits in Section 18, PACE shall defend, indemnify, and hold harmless Channel Partner and its officers, directors, employees, and agents from and against third-party claims, and pay damages or settlement amounts finally awarded by a court of competent jurisdiction or agreed in a PACE-approved settlement, to the extent such claims arise out of: (i) an allegation that a Product, as supplied by PACE and used in accordance with PACE's documentation, infringes a third party's patent, copyright, trademark, or trade-secret rights; or (ii) death, bodily injury, or tangible property damage caused by a defect in a Product that existed when the Product left PACE's facility and was not caused or contributed to by Channel Partner's misuse, modification, or failure to follow PACE's documentation.

PACE's indemnification is conditioned on Channel Partner giving prompt notice, providing PACE sole control of defense and settlement, and not making admissions or settling without PACE's consent. For IP claims, PACE may at its option procure rights, modify, replace, or refund the affected Product.

By Channel Partner. Channel Partner shall defend, indemnify, and hold harmless PACE and its officers, directors, employees, and agents from any third-party claims, damages, fines, losses, and reasonable costs (including attorney fees) arising from: (a) Channel Partner's negligence or willful misconduct; (b) Channel Partner's marketing or representations to End Customers beyond those authorized by PACE; (c) Channel Partner's breach of Trade Laws (Section 12), Anti-Corruption Laws (Section 13), or data-protection laws (Section 14); (d) Channel Partner's breach of this Agreement; or (e) Channel Partner's modification, alteration, or repair of Products outside its express authorization.

The mutual indemnification obligations are the sole and exclusive remedies for the matters addressed and survive termination.

18 Limitation of Liability

SUMMARY

Each side's non-indemnity, non-confidentiality, non-payment liability is capped at the greater of fees paid in 12 months or \$10,000.

EXCEPT FOR (i) INDEMNIFICATION OBLIGATIONS UNDER SECTION 17; (ii) BREACHES OF CONFIDENTIALITY UNDER SECTION 11; (iii) BREACHES OF TRADE LAWS (SECTION 12), ANTI-CORRUPTION LAWS (SECTION 13), OR INTELLECTUAL PROPERTY OBLIGATIONS (SECTION 15); (iv) CHANNEL PARTNER'S PAYMENT OBLIGATIONS; OR (v) DAMAGES FROM GROSS NEGLIGENCE OR WILLFUL MISCONDUCT, EACH PARTY'S TOTAL AGGREGATE LIABILITY UNDER THIS AGREEMENT, REGARDLESS OF THEORY, SHALL NOT EXCEED THE GREATER OF (A) AMOUNTS PAID OR PAYABLE BY CHANNEL PARTNER TO PACE UNDER THIS AGREEMENT IN THE TWELVE (12) MONTHS PRECEDING THE EVENT, OR (B) U.S. \$10,000.

IN NO EVENT SHALL EITHER PARTY BE LIABLE FOR LOST PROFITS, LOST REVENUE, LOSS OF USE, BUSINESS INTERRUPTION, LOSS OF DATA, COST OF SUBSTITUTE GOODS OR SERVICES, OR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, EXEMPLARY, OR PUNITIVE DAMAGES, EVEN IF ADVISED OF THE POSSIBILITY.

These limitations are an essential element of the bargain and apply notwithstanding any failure of essential purpose of a limited remedy.

SUMMARY

1-year auto-renewing. 60 days' notice for convenience; 30 days for cause (with cure).
Immediate termination for serious breaches.

Term. This Agreement begins on the Effective Date and continues for an initial term of one (1) year, renewing automatically for successive one-year terms unless either party gives written non-renewal notice at least sixty (60) days before the end of the then-current term.

Termination for Convenience. Either party may terminate without cause on sixty (60) days' prior written notice.

Termination for Cause. Either party may terminate for cause on thirty (30) days' written notice if the other party materially breaches and fails to cure within the notice period.

Immediate Termination. Either party may terminate immediately by written notice if the other (i) becomes insolvent or has an insolvency proceeding commenced that is not dismissed within sixty (60) days; (ii) materially breaches Section 12 (Export Controls), 13 (Anti-Bribery), 11 (Confidentiality), or 15 (Intellectual Property); (iii) experiences a Change of Control as defined in Section 23(d) that the other party reasonably objects to; or (iv) engages in conduct that materially harms the other party's reputation or business.

SUMMARY

Sales rights and trademark license end. Channel Partner has 90 days to sell through existing inventory. Surviving sections continue.

Upon expiration or termination:

- **Sales rights cease.** Channel Partner's appointment, the trademark license, and the right to identify as an authorized PACE Channel Partner terminate. Channel Partner shall remove all references to PACE and the Marks from its website and materials within thirty (30) days.
- **Open orders.** PACE may, at its option, fulfill or cancel orders accepted but not yet shipped.
- **Inventory.** For ninety (90) days following termination (the "Sell-Through Period"), Channel Partner may continue to sell its existing inventory of Products in compliance with all surviving obligations. PACE may, at its option, repurchase Channel Partner's then-current inventory of unused, unopened, current-version Products at Channel Partner's original net invoice cost less an inventory-condition adjustment, freight collect.
- **Confidential Information.** Each party shall return or destroy the other's Confidential Information.
- **Payment.** Payment obligations accrued prior to termination remain due.

Survival. Sections 1 (Definitions), 11 (Confidentiality), 12 (Export Controls), 13 (Anti-Bribery), 14 (Data Protection), 15 (Intellectual Property), 16 (Representations, as to accrued claims), 17 (Indemnification), 18 (Limitation of Liability), 20 (Effect of Termination), 21 (Dispute Resolution), 22 (Governing Law), and 23 (General Provisions) survive.

SUMMARY

Negotiation first (30 days); then binding arbitration in Tucson under AAA Commercial Rules. Class actions waived. Either side may go to court for emergency IP, confidentiality, or trade-compliance relief.

(a) Negotiation. The parties shall first attempt to resolve any dispute through good-faith negotiation between senior representatives for at least thirty (30) days before initiating arbitration.

(b) Arbitration. Any unresolved dispute shall be resolved by final and binding arbitration administered by the American Arbitration Association under its **Commercial Arbitration Rules**, before a single arbitrator, with seat in **Pima County, Arizona**, conducted in **English**.

(c) Class Action Waiver. ALL DISPUTES SHALL BE ARBITRATED INDIVIDUALLY. THE PARTIES EXPRESSLY WAIVE ANY RIGHT TO PARTICIPATE AS A REPRESENTATIVE OR MEMBER OF ANY CLASS, COLLECTIVE, CONSOLIDATED, OR MASS ACTION.

(d) Jury Trial Waiver. If any dispute proceeds in court rather than arbitration, EACH PARTY WAIVES TRIAL BY JURY. Exclusive venue is the state or federal courts in Pima County, Arizona.

(e) Equitable Relief. Notwithstanding the foregoing, either party may seek injunctive or equitable relief in court to prevent or restrain a breach of intellectual-property rights, confidentiality, or Trade Laws / Anti-Corruption Laws.

(f) Fees. Each party bears its own attorney fees, except the arbitrator may award fees and costs to PACE in collection or breach-of-Section-11/12/13/15 actions.

22 Governing Law

SUMMARY

Arizona law. UN Convention on Contracts for the International Sale of Goods does not apply.

This Agreement is governed by Arizona law (without regard to conflicts of law). The United Nations Convention on Contracts for the International Sale of Goods does not apply.

SUMMARY

Standard wrap-up clauses: entire agreement, amendments, assignment, notices, force majeure, independence, severability, language.

(a) Entire Agreement. This Agreement and any signed amendments constitute the entire agreement and supersede all prior or contemporaneous agreements on its subject matter.

(b) Amendments. No amendment is effective unless in writing and signed by both parties.

(c) Waiver. A waiver of any breach is not a waiver of any subsequent breach.

(d) Assignment and Change of Control. Channel Partner may not assign or transfer this Agreement or any rights or obligations under it, by operation of law or otherwise, without PACE's prior written consent; any attempted assignment is void. "Change of Control" means any transaction or series of transactions resulting in (i) a transfer of more than fifty percent (50%) of the voting equity interests of Channel Partner; (ii) the sale, lease, or other disposition of all or substantially all of Channel Partner's assets; or (iii) a merger, consolidation, or reorganization in which Channel Partner is not the surviving entity. Channel Partner shall give PACE written notice of any proposed or actual Change of Control as promptly as legally permitted, and in any event not later than fifteen (15) days after closing. If the acquirer or successor competes with PACE in the metallographic equipment or consumables markets, or otherwise would, in PACE's reasonable judgment, materially impair Channel Partner's ability or willingness to perform this Agreement, PACE may terminate this Agreement immediately on written notice without further liability. PACE may assign this Agreement in connection with a merger, acquisition, reorganization, or sale of substantially all assets.

(e) Notices. Notices to PACE: 3601 E. 34th Street, Tucson, Arizona 85713, USA, Attn: General Counsel, with copy to pace@metallographic.com. Notices to Channel Partner: the address on the cover page or as otherwise notified.

(f) Force Majeure. Neither party is liable for delays caused by circumstances beyond reasonable control (acts of God, war, pandemic, government action, etc.). Either party may terminate the affected portion if the event continues more than ninety (90) days.

(g) Relationship. Channel Partner is an independent contractor. Nothing creates an agency, partnership, joint venture, or franchise.

(h) No Third-Party Beneficiaries. No third parties have rights under this Agreement.

(i) Severability. An invalid provision shall be modified to the minimum extent needed to be enforceable; remaining provisions stay in force.

(j) Language. Executed in English. Any translation is for convenience only; the English version controls.

(k) Counterparts. May be executed in counterparts (including by electronic signature).

PACE Technologies Corporation

Signature: _____

Printed Name: _____

Title: _____

Date: _____

[CHANNEL PARTNER LEGAL NAME]

Signature: _____

Printed Name: _____

Title: _____

Date: _____

B Exhibit B — Discount and Referral Schedule

SUMMARY

Path A: 5% cash referral fee on closed equipment. Path B: 15% off equipment and 10% off same-PO consumables on registered deals; 10% baseline if not registered; standalone consumables at list.

This Exhibit B is effective as of the Effective Date and is subject to PACE's right to update on sixty (60) days' written notice under Section 3.

Path A — Referral Fees

- **Equipment:** five percent (5%) of the net invoiced equipment value on each closed opportunity where the End Customer was referred under an Approved Deal Registration
- **Consumables:** no referral fee
- **Services:** no referral fee
- **Payment timing:** within thirty (30) days after PACE collects payment in full from the End Customer
- **Eligibility:** Path A referral fees are paid only on opportunities that were submitted under the Deal Registration Policy prior to PACE's quote to the End Customer and that received an Approved determination from PACE

Path B — Resale Discounts

- **Equipment, registered:** fifteen percent (15%) off List Price on equipment sold under an Approved Deal Registration
- **Equipment, unregistered:** ten percent (10%) off List Price on equipment sold without an Approved Deal Registration
- **Consumables shipped on the same PO as equipment (Starter Kit):** ten percent (10%) off List Price
- **Standalone consumables orders:** List Price (no discount). Channel Partner is encouraged to refer the End Customer to PACE direct (via shop.metallographic.com or PACE direct sales) for ongoing consumables, where PACE can advise on Product selection
- **Per-Order Minimum:** \$500 USD per purchase order

- **Annual Minimum:** \$5,000 USD in net invoiced Path B Product purchases per calendar year

General Discount Terms

- **Qualifying Products:** all Products in PACE's published catalog and on PACE's e-commerce site at shop.metallographic.com, except as designated by PACE in writing as ineligible for discount (for example, third-party items, custom builds, or promotional bundles)
- **Application:** the discount is applied to PACE's then-current published List Price at the time of order acceptance
- **Currency:** all amounts are in U.S. dollars
- **Updates:** PACE may update this Exhibit B on sixty (60) days' written notice; updates are effective for orders accepted after the change
- **Cap:** in no event shall the combined discount or referral fee on any single transaction exceed fifteen percent (15%) of the applicable List Price